

EQUITY BANK GROUP

UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

AS AT 31st MARCH 2009



	Group 31/3/09 Current Year KShs. '000's (Un-audited)	Group 31/12/08 Previous Year KShs. '000's (Audited)	Group 31/3/08 Previous year KShs. '000's (Un-audited)	Bank 31/3/09 Current Year KShs. '000's (Un-audited)	Bank 31/12/08 Previous Year KShs. '000's (Audited)	Bank 31/3/08 Previous Year KShs. '000's (Un-audited)
BALANCE SHEET						
A. ASSETS						
1. Cash (both Local & foreign)	4,335,775	3,652,137	2,457,438	3,827,543	3,395,811	2,457,438
2. Balances due from central Bank of Kenya	2,688,562	2,468,490	2,347,058	2,688,562	2,468,490	2,347,058
3. Kenya Government securities	4,240,927	4,329,659	19,215,480	4,240,927	4,329,659	19,215,480
4. Foreign Currency Treasury Bills and Bonds	48,059	88,774	-	-	-	-
5. Deposits and balances due from banking institutions	3,396,504	5,160,775	2,779,820	3,396,504	5,160,775	2,779,820
6. Deposits and balances due from banking institutions abroad	1,882,835	1,162,111	37,378	1,226,227	669,833	37,378
7. Government and other securities held for dealing purposes	7,185,450	8,145,450	-	7,185,450	8,145,450	-
8. Tax recoverable	4,438	13,312	-	-	-	-
9. Loans and advances to customers (net)	48,236,566	44,193,749	24,341,696	45,210,843	40,857,796	24,341,696
10. Investment securities	-	-	-	-	-	-
11. Balances due from group companies	-	-	-	1,548,535	182,373	-
12. Investments in associates	1,155,562	1,155,562	441,830	1,155,562	1,155,562	441,830
13. Investments in subsidiary companies	51,200	51,000	-	2,976,191	2,976,191	-
14. Investments in joint ventures	-	-	-	-	-	-
15. Investment properties	11,269	11,269	11,269	11,269	11,269	11,269
16. Property and equipment	5,246,781	4,824,261	2,772,626	4,669,864	4,258,579	2,772,626
17. Prepaid lease rentals	4,101	4,101	4,136	4,101	4,101	4,136
18. Intangible assets	1,811,362	1,465,428	258,917	284,930	347,797	258,917
19. Deferred tax asset	-	-	-	-	-	-
20. Retirement benefit asset	-	-	-	-	-	-
21. Other assets	2,691,581	2,110,726	2,355,335	1,990,838	3,171,840	2,355,335
22. TOTAL ASSETS	82,990,972	78,836,806	57,022,983	80,417,347	77,135,526	57,022,983
B. LIABILITIES						
23. Balances due to Central Bank of Kenya	-	-	-	-	-	-
24. Customer deposits	53,720,367	50,334,525	34,175,403	52,214,177	48,977,136	34,175,403
25. Deposits and balances due to Local banking institutions	-	-	269,275	-	-	269,275
26. Deposits and balances due to Foreign banking institutions	827	899	48,943	827	899	48,943
27. Other money market deposits	-	-	-	-	-	-
28. Borrowed funds	6,546,421	6,463,137	4,517,114	6,267,027	6,166,630	4,517,114
29. Balances due to group companies	-	-	-	-	-	-
30. Tax payable	729,973	513,730	408,996	700,347	513,730	408,996
31. Dividends payable.	291,979	-	-	291,979	-	-
32. Deferred tax liability	67,024	94,144	26,557	67,024	67,024	26,557
33. Retirement benefit liability	-	-	-	-	-	-
34. Other liabilities	1,913,382	1,892,567	1,928,732	1,618,575	1,750,185	1,928,732
35. TOTAL LIABILITIES	63,269,972	59,299,002	41,375,020	61,159,955	57,475,603	41,375,020
C. SHAREHOLDERS' FUNDS						
36. Paid up/Assigned capital	1,851,388	1,851,388	1,811,050	1,851,388	1,851,388	1,811,050
37. Share premium/ (discount)	12,157,307	12,161,021	10,543,037	12,157,307	12,161,021	10,543,037
38. Revaluation reserve	(146,993)	(349,321)	16,521	(146,993)	(112,216)	16,521
39. Retained earnings/ Accumulated losses	5,550,881	4,455,467	2,473,409	5,087,273	4,340,480	2,473,409
40. Statutory Loan Loss reserve	308,416	308,416	260,559	308,416	308,416	260,559
41. Proposed dividends	-	1,110,833	543,387	-	1,110,833	543,387
42. Capital grants	-	-	-	-	-	-
43. TOTAL SHAREHOLDERS' FUNDS	19,721,000	19,537,804	15,647,963	19,257,391	19,659,923	15,647,963
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	82,990,972	78,836,806	57,022,983	80,417,347	77,135,526	57,022,983
PROFIT AND LOSS ACCOUNT						
INTEREST INCOME						
1.1 Loans and advances	2,104,948	6,175,508	834,939	1,691,490	5,357,338	834,939
1.2 Government securities.	338,523	1,540,590	432,477	337,890	1,540,590	432,477
1.3 Deposits and placements with banking institutions	59,290	262,924	71,227	55,743	270,713	71,227
1.4 Other	-	-	-	-	-	-
1.5 Total Interest income	2,502,762	7,979,022	1,338,643	2,085,123	7,168,641	1,338,643
INTEREST EXPENSES						
2.1 Customer deposits	141,290	552,339	88,165	133,661	517,424	88,165
2.2 Deposits and placements from banking institutions	286	22,824	910	286	22,824	910
2.3 Other Interest expense	242,885	787,064	131,241	189,758	676,382	131,241
2.4 Total interest Expenses	384,460	1,362,228	220,316	323,705	1,216,630	220,316
NET INTEREST INCOME	2,118,301	6,616,794	1,118,327	1,761,418	5,952,011	1,118,327
OTHER OPERATING INCOME						
4.1 Fees and commissions income on loans & advances	354,751	1,869,197	340,995	326,791	1,679,039	340,995
4.2 Other Fees and commissions income	826,503	3,281,099	504,977	807,905	3,154,891	504,977
4.3 Foreign exchange trading income	8,431	754,405	245,904	(23,385)	707,951	245,904
4.4 Dividend Income	-	-	-	-	-	-
4.5 Other income.	71,817	83,874	8,137	21,244	62,440	8,137
4.6 Total Non-Interest Income	1,261,503	5,988,575	1,100,013	1,132,555	5,604,320	1,100,013
TOTAL OPERATING INCOME	3,379,804	12,605,369	2,218,340	2,893,973	11,556,331	2,218,340
OPERATING EXPENSES						
6.1 Loan Loss Provision	54,014	1,019,626	132,347	54,014	875,061	132,347
6.2 Staff costs	1,101,768	2,937,836	487,662	939,444	2,567,458	487,662
6.3 Directors' emoluments	4,382	16,661	3,150	4,382	16,661	3,150
6.4 Rental charges	123,254	375,428	73,701	113,097	356,700	73,701
6.5 Depreciation on property and equipment	208,730	649,379	126,384	195,457	615,671	126,384
6.6 Ammortisation charges	30,672	99,779	20,493	27,714	95,648	20,493
6.7 Other operating expenses	696,805	2,518,461	465,794	626,938	2,272,530	465,794
6.8 Total Operating Expenses	2,219,625	7,617,167	1,309,531	1,961,046	6,799,729	1,309,531
Profit/(loss) before tax and exceptional items	1,160,179	4,988,203	908,808	932,927	4,756,601	908,808
Exceptional items-share of profit of associate	12,413	34,083	-	-	34,083	-
Profit/(loss) after exceptional items	1,172,592	5,022,286	908,808	932,927	4,790,684	908,808
Current tax	(254,761)	(1,062,599)	(181,762)	(186,585)	(1,015,653)	(181,762)
Deferred tax	-	(49,404)	-	-	(22,389)	-
Profit / (loss) after tax and exceptional items	917,831	3,910,283	727,047	746,342	3,752,643	727,047
OTHER DISCLOSURES						
1) NON PERFORMING LOANS AND ADVANCES						
a) Gross non performing loans and advances	3,851,656	2,754,750	1,542,582	3,676,597	2,443,666	1,542,582
b) Less Interest in suspense	441,776	222,980	250,943	437,580	215,979	250,943
c) Total Non-Performing loans and advances (a-b)	3,409,880	2,531,770	1,291,639	3,239,017	2,227,687	1,291,639
d) Less Loan loss provision	659,230	750,111	289,942	529,701	649,661	289,942
e) Net non-performing loans(c-b)	2,750,650	1,781,659	1,001,697	2,709,316	1,578,026	1,001,697
f) Discounted value of securities	2,750,650	1,781,659	1,001,697	2,709,316	1,578,026	1,001,697
g) Net NPLs Exposure (e-f)	-	-	-	-	-	-
2) INSIDER LOANS AND ADVANCES						
a) Directors, shareholders and associates	304,767	208,753	183,456	303,101	207,434	183,456
b) Employees	1,147,083	956,678	506,591	1,091,097	900,428	506,591
c) Total insider Loans and Advances and other Facilities	1,451,850	1,165,431	690,047	1,394,198	1,107,862	690,047
3) OFF BALANCE SHEET ITEMS						
a) Letter of Credit, guarantees, acceptances	1,960,006	1,889,017	2,321,328	1,960,006	1,889,017	2,321,328
b) Other contingent Liabilities	1,030	8,517	8,517	1,030	8,517	8,517
c) Total contingent Liabilities	1,961,036	1,897,534	2,329,845	1,961,036	1,897,534	2,329,845
4) CAPITAL STRENGTH						
a) Core Capital	-	-	-	14,642,244	14,272,336	14,022,143
b) Minimum statutory capital	-	-	-	250,000	250,000	250,000
c) Excess/ (deficiency)	-	-	-	14,392,244	14,022,336	13,772,143
d) Supplementary capital	-	-	-	5,713,131	5,637,234	3,935,873
e) Total Capital (a+d)	-	-	-	20,105,375	19,659,570	17,708,016
f) Total Risk Weighted Assets	-	-	-	54,155,352	48,833,994	31,200,693
g) Core Capital/ Total Deposit Liabilities	-	-	-	28%	29%	41%
h) Minimum statutory ratio	-	-	-	8%	8%	8%
i) Excess / (deficiency) (g-h)	-	-	-	20%	21%	33%
j) Core Capital/ Total Risk Weighted Assets	-	-	-	27%	29%	45%
k) Minimum statutory Ratio	-	-	-	8%	8%	8%
L) Excess / (deficiency) (j-k)	-	-	-	19%	21%	37%
m) Total Capital/ Total Risk Weighted assets	-	-	-	38%	41%	58%
n) Minimum statutory Ratio	-	-	-	12%	12%	12%
o) Excess / (deficiency) (m-n)	-	-	-	26%	29%	46%
5) LIQUIDITY						
a) Liquidity Ratio	-	-	-	40%	47%	74%
b) Minimum statutory Ratio	-	-	-	20%	20%	20%
c) Excess / (deficiency) (a-b)	-	-	-	20%	27%	54%

The above quarterly statements and disclosures are extracts of the financial records of the Group.

Signed: **DR. JAMES MWANGI, MBS**
CHIEF EXECUTIVE OFFICER/MANAGING DIRECTOR

Signed: **MR. PETER K. MUNGA, EBS**
CHAIRMAN

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